Goldman Sachs Research

Equity Research
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Alphabet Inc. (GOOGL)

Q2'26 Review: The AI Investment Cycle Proceeds Upward in its Trajectory (as Google Cloud Revenue Estimates Are Revised Higher)

GOOGL	12m Price Target: **$435.00**	Price: **$342.09**	Upside: **27.2%**

Alphabet's Q2'26 earnings report revolved around a few key themes: 1) Search & Other demonstrated strong growth of ~17% YoY (driven by broad based strength across geographies and advertiser verticals) with the company highlighting tougher YoY comps and f/x headwinds ahead (which drove our estimate for a deceleration toward more normalized growth in the coming quarters); 2) YouTube Ads revenue reaccelerated on positive comments about engagement, advertising conversion outcomes and direct response mix, as well as positive comments about subscription tailwinds (Music & Premium) captured in the company's Subscription revenue line; 3) Google Cloud accelerated to +82% YoY growth with a reported revenue backlog of ~$514bn driven by a rising (albeit minority) mix of direct TPU hardware sales/commitments and positive commentary around both enterprise and partner compute demand; 4) 2026 capex outlook revised higher (from $180-190bn to $195-205bn) and with management reiterating its prior outlook for 2027 capex to "increase significantly" YoY as the company accelerates forward compute build to meet customer needs – we now forecast 2026/27 capex of ~$205bn / ~$350bn, respectively; & 5) continued emphasis on driving overall operating efficiencies and maintaining a strong credit profile against the need for internal v. external capital to fund the AI investment cycle. In total, we saw this set of results as a collection of positive operating narratives against both our (now raised) forecasts and investor expectations. Across its multiple paths to distribute and commercialize AI more broadly (consumer and enterprise), Alphabet management continued to express confidence about the forward prospects for competitive positioning, operating performance, and long-term returns on capital.

In our view, investors are likely to continue to focus on: a) the visibility into peak capex levels (magnitude & timing) behind the AI theme; b) Gemini's relative competitive positioning vs. other foundational models (including open source alternatives); and c)

BUY

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Key Data

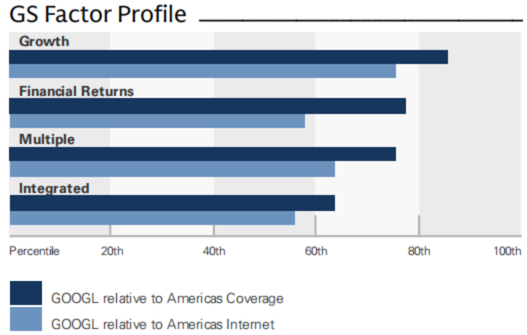
Market cap: $4.2tr
Enterprise value: $4.2tr
3m ADTV: $11.8bn
United States
Americas Internet
M&A Rank: 3

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue ($ mn) New	**342,910.0**	**432,987.1**	**548,830.4**	**673,449.2**
Revenue ($ mn) Old	342,910.0	423,281.8	528,083.5	659,744.2
EBITDA ($ mn)	150,175.0	219,698.0	316,019.0	419,744.5
EBIT ($ mn)	129,039.0	173,770.4	231,263.2	289,938.2
EPS ($) New	**10.81**	**20.51**	**15.44**	**19.08**
EPS ($) Old	10.81	13.69	14.47	18.66
P/E (X)	19.5	16.7	22.2	17.9
Dividend yield (%)	0.4	0.3	0.3	0.3
Net debt/EBITDA (X)	0.1	0.1	0.0	(0.0)

	6/26	9/26E	12/26E	3/27E
EPS ($)	9.11	2.95	3.37	3.64

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

BUY

Alphabet Inc. (GOOGL)

Rating since Sep 12, 2021

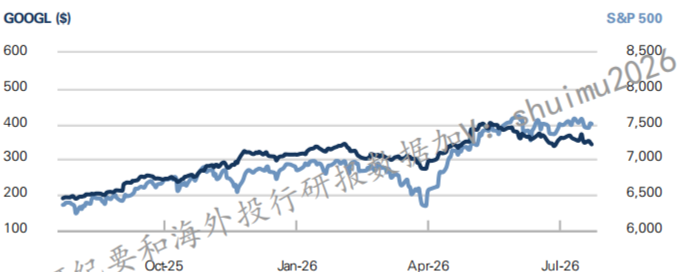
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	19.5	16.7	22.2	17.9
EV/EBITDA (X)	17.1	19.1	13.4	10.1
EV/sales (X)	7.5	9.7	7.7	6.3
FCF yield (%)	2.9	0.1	(0.8)	0.0
EV/DACF (X)	16.0	18.9	13.8	10.5
CROCI (%)	35.5	33.4	31.9	31.1
ROE (%)	35.7	44.3	23.1	22.3
Net debt/EBITDA (X)	0.1	0.1	0.0	(0.0)
Net debt/equity (%)	3.8	1.8	0.7	(1.4)
Interest cover (X)	175.3	34.4	35.7	44.8
Inventory days	4.3	20.3	31.0	32.0
Receivable days	61.3	59.1	56.6	54.7
Days payable outstanding	35.9	43.0	48.0	53.5

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	16.2	26.3	26.8	22.7
EBITDA growth	17.6	46.3	43.8	32.8
EPS growth	34.4	89.7	(24.7)	23.6
DPS growth	38.4	5.0	1.0	0.0
Gross margin	70.1	69.9	68.4	67.2
EBIT margin	37.6	40.1	42.1	43.1

Price Performance



	3m	6m	12m
Absolute	0.8%	3.5%	78.8%
Rel. to the S&P 500	(4.0)%	(4.6)%	50.4%

Source: FactSet. Price as of 22 Jul 2026 close.

Income Statement ($ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	342,910.0	432,987.1	548,830.4	673,449.2
Cost of goods sold	(102,609.0)	(130,292.3)	(173,278.6)	(220,937.1)
SG&A	(50,175.0)	(53,547.9)	(55,721.2)	(58,507.2)
R&D	(61,087.0)	(75,376.5)	(88,567.4)	(104,066.7)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**150,175.0**	**219,698.0**	**316,019.0**	**419,744.5**
Depreciation & amortization	(21,136.0)	(45,927.6)	(84,755.8)	(129,806.3)
EBIT	**129,039.0**	**173,770.4**	**231,263.2**	**289,938.2**
Net interest inc./(exp.)	3,601.0	3,184.2	3,049.6	1,602.5
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**158,826.0**	**311,653.5**	**234,312.8**	**291,540.7**
Provision for taxes	(26,656.0)	(58,104.5)	(41,004.7)	(51,019.6)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**132,170.0**	**253,549.1**	**193,308.1**	**240,521.1**
Net inc. (post-exceptionals)	**132,170.0**	**253,549.1**	**193,308.1**	**240,521.1**
EPS (basic, pre-except) ($)	**10.91**	**20.76**	**15.64**	**19.32**
EPS (diluted, pre-except) ($)	**10.81**	**20.51**	**15.44**	**19.08**
EPS (ex-ESO exp., dil.) ($)	--	--	--	--
DPS ($)	0.83	0.87	0.88	0.88
Div. payout ratio (%)	7.6	4.2	5.6	4.6
Wtd avg shares out. (basic) (mn)	12,116.0	12,211.6	12,361.9	12,447.4
Wtd avg shares out. (diluted) (mn)	12,230.0	12,364.8	12,519.9	12,605.4

Balance Sheet ($ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	30,708.0	85,041.1	91,635.7	115,715.1
Accounts receivable	62,886.0	77,245.2	93,010.5	108,774.9
Inventory	2,439.0	12,055.7	17,415.3	21,333.7
Other current assets	110,005.0	177,237.8	131,760.7	104,652.7
Total current assets	**206,038.0**	**351,579.7**	**333,822.3**	**350,476.5**
Net PP&E	261,818.0	429,111.6	694,251.9	979,072.4
Net intangibles	33,380.0	66,933.0	66,933.0	66,933.0
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	94,045.0	172,620.0	172,620.0	172,620.0
Total assets	**595,281.0**	**1,020,244.3**	**1,267,627.2**	**1,569,101.8**
Accounts payable	12,200.0	18,517.9	27,057.0	37,674.1
Short-term debt	–	–	–	–
Current lease liabilities	–	–	–	–
Other current liabilities	90,545.0	116,395.9	139,546.5	165,577.2
Total current liabilities	**102,745.0**	**134,913.8**	**166,603.5**	**203,251.3**
Long-term debt	46,547.0	98,165.0	98,165.0	98,165.0
Non-current lease liabilities	12,744.0	14,591.0	14,591.0	14,591.0
Other long-term liabilities	17,980.0	42,636.0	42,636.0	42,636.0
Total long-term liabilities	**77,271.0**	**155,392.0**	**155,392.0**	**155,392.0**
Total liabilities	**180,016.0**	**290,305.8**	**321,995.5**	**358,643.3**
Preferred shares	–	–	–	–
Total common equity	**415,265.0**	**729,938.5**	**945,631.7**	**1,210,458.5**
Minority interest	–	–	–	–
Total liabilities & equity	**595,281.0**	**1,020,244.3**	**1,267,627.2**	**1,569,101.8**
BVPS ($)	34.33	59.25	76.22	96.91

Cash Flow ($ mn)

	12/25	12/26E	12/27E	12/28E
Net income	132,170.0	253,549.1	193,308.1	240,521.1
D&A add-back	21,136.0	45,927.6	84,755.8	129,806.3
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	618.0	(18,671.8)	4,073.0	9,976.3
Others	10,789.0	(74,304.4)	33,263.6	35,259.4
Cash flow from operations	**164,713.0**	**206,500.5**	**315,400.4**	**415,563.1**
Capital expenditures	(91,447.0)	(203,145.3)	(349,896.0)	(414,626.8)
Acquisitions	(1,592.0)	(33,697.0)	–	–
Divestitures	–	–	–	–
Others	(27,252.0)	3,920.0	51,968.8	34,096.7
Cash flow from investing	**(120,291.0)**	**(232,922.3)**	**(297,927.2)**	**(380,530.1)**
Dividends paid	–	–	–	–
Share issuance/(repurchase)	(59,876.0)	37,506.0	0.0	0.0
Inc/(dec) in debt	32,138.0	50,973.0	–	–
Others	608.0	2,918.0	–	–
Cash flow from financing	**(37,180.0)**	**80,754.8**	**(10,878.5)**	**(10,953.7)**
Total cash flow	**7,242.0**	**54,333.1**	**6,594.7**	**24,079.4**
Free cash flow	73,266.0	3,355.3	(34,495.6)	936.3
Free cash flow per share (basic) ($)	6.05	0.27	(2.79)	0.08

Source: Company data, Goldman Sachs Research estimates.

how the company can balance allocating compute across internal product development, external client needs and a desire to be at the forefront of model performance achieving an industry leading level at the frontier. In addition, qualitative commentary about tougher revenue comps in the advertising business and margin compression (rising depreciation and 3rd party compute deals) in the Google Cloud segment operating margins now will likely be debates as to whether Street estimates properly calibrated the company's framing.

Looking long-term, we continue to view Alphabet as well-positioned against both the current (mixture of desktop and mobile computing utility at global scale) and potential future (AI/ML; personalization; lowered friction to applications) computing landscapes in the years ahead. We continue to advocate that the combination of AI distribution at scale (collection of 1bn+ user applications) and scale of compute to both invest and drive efficiencies remain as a dual under-appreciated narrative in terms of AI over the long-term, particularly as we move from the "infrastructure" to "platform" and "application" layers of AI monetization. In addition, we increasingly see Alphabet (product & go-to market strategy alongside ability to scale compute capacity) as well positioned to play offense across the rising demand for AI products services across both consumer and enterprise computing landscapes.

We reiterate our Buy rating & lower our 12-month PT from $440 to $435 as we update our forward operating estimates to reflect this earnings report & management commentary. On our updated estimates, GOOGL currently trades at ~20x our 2027E GAAP EPS estimate (ex- net cash).

Exhibit 1: GOOGL - GSe Revenues, Capex, D&A and GAAP Expense Growth

$mm, 2024-2031E

	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Total Revenues (Net)	$ 295,118	$ 342,910	$ 432,987	$ 548,830	$ 673,449	$ 797,144	$ 911,550	$ 1,027,002
% y/y growth	*15.1%*	*16.2%*	*26.3%*	*26.8%*	*22.7%*	*18.4%*	*14.4%*	*12.7%*
Total Capex	$ 52,535	$ 91,447	$ 203,145	$ 349,896	$ 414,627	$ 466,455	$ 489,778	$ 514,267
% y/y growth	*62.9%*	*74.1%*	*122.1%*	*72.2%*	*18.5%*	*12.5%*	*5.0%*	*5.0%*
% capital intensity	*17.8%*	*26.7%*	*46.9%*	*63.8%*	*61.6%*	*58.5%*	*53.7%*	*50.1%*
Total GAAP Expenses	$ 182,728	$ 213,871	$ 259,217	$ 317,567	$ 383,511	$ 453,398	$ 523,792	$ 592,654
% y/y growth	*6.1%*	*17.0%*	*21.2%*	*22.5%*	*20.8%*	*18.2%*	*15.5%*	*13.1%*
Total D&A	$ 15,311	$ 21,136	$ 45,928	$ 84,756	$ 129,806	$ 178,974	$ 227,936	$ 274,309
% y/y growth	*14.9%*	*38.0%*	*117.3%*	*84.5%*	*53.2%*	*37.9%*	*27.4%*	*20.3%*
Total GAAP Expenses (ex-D&A and one-timers)*	$ 166,110	$ 187,586	$ 208,589	$ 232,811	$ 253,705	$ 274,424	$ 295,856	$ 318,345
% y/y growth	*7.2%*	*12.9%*	*11.2%*	*11.6%*	*9.0%*	*8.2%*	*7.8%*	*7.6%*

*one-timers include reported restructuring charges & legal accruals of ~$3.9bn in 2023, ~$1.3bn in 2024, ~$5.2bn in 2025 and ~$4.7bn in 2026E

Source: Company data, Goldman Sachs Global Investment Research

Q2 '26 Positives & Negatives:

Positives: a) Continued momentum in Cloud segment with revenues +82% YoY in Q2'26, backlog increasing ~$50bn QoQ to ~$514bn & operating margin expansion (~1500bps YoY) due to significant enterprise AI demand (nearly ~90% of Fortune 100 companies using Gemini Enterprise; new customer acquisition doubled YoY); b) YouTube Ads revenues came in above GSe/Street (FactSet) estimates in Q2, with growth in direct response & brand advertising and the platform seeing momentum around events (over 1.7bn World Cup viewers globally), new exclusive slate of Creator Shows, & Living Room (launch of Buy with Google Pay); & c) Q2 Search & Other revenue growth of +16.8% YoY beat expectations with strength led by retail & finance verticals, and the integration of AI Overviews & AI Mode into one seamless search experience driving increased usage (AI Mode at 1bn+ MAUs).

Negatives: a) Mgmt raised FY26 capex guidance to $195-205bn (from prior $180-190bn) due to an acceleration in the delivery of capacity to meet growing demand, with FY27 capex expected to increase significantly compared to 2026; b) Q3 outlook includes FX related headwinds impacting revenue growth (primarily in Search & YouTube Ads segments) in addition to tougher comps as the company laps an acceleration in Search revenues beginning in Q3'25; & c) Subscriptions, Platforms & Devices revenue came in slightly below GSe/Street expectations in Q2.

Q3'26 & FY2026 Estimate Changes:

Q3'26: Consolidated gross revenues of $125.49bn (from prior $123.57bn); GAAP EBITDA of $59.15bn (from prior $53.91bn); & GAAP EPS of $2.95 (from prior $2.80).
2026: Consolidated gross revenues of $498.96bn (from prior $488.97bn); GAAP EBITDA of $219.70bn (from prior $211.26bn); & GAAP EPS of $20.51 (from prior $13.69).

Maintain Buy Rating; Lower PT to $435 (from $440)

Our $435, 12-month price target is based on an equal blend of (1) EV/GAAP EBIT applied to our NTM + 1 year estimates and (2) a modified DCF using EV/FCF-SBC multiple applied to our NTM + 4 years estimates discounted back 3 years.

Exhibit 2: Q2'26 Actuals vs. Estimates
mm, except per-share data

	Actuals	GS	Consensus	Actuals vs. GS	Actuals vs. Cons	QoQ Change	YoY Change
Google Segment Revs (Gross)	$ 119,308	$ 116,644	$ 116,774	2.3%	2.2%	8.8%	24.1%
Google Services	$ 94,540	$ 93,484	$ 94,278	1.1%	0.3%	5.5%	14.5%
Google Search & Other	$ 63,271	$ 62,589	$ 63,296	1.1%	0.0%	4.8%	16.8%
YouTube Ads	$ 11,055	$ 10,580	$ 10,791	4.5%	2.4%	11.9%	12.9%
Google Network	$ 7,303	$ 7,207	$ 7,142	1.3%	2.3%	4.8%	-0.7%
Google Subscriptions, Platforms & Devices	$ 12,911	$ 13,108	$ 13,049	-1.5%	-1.1%	4.3%	15.2%
Google Cloud	$ 24,768	$ 23,161	$ 22,496	6.9%	10.1%	23.7%	81.8%
Other Bets	$ 382	$ 392	$ 398	-2.5%	-4.0%	-7.1%	2.4%
Consolidated Gross Revs	$ 119,796	$ 117,036	$ 117,173	2.4%	2.2%	9.0%	24.2%
TAC (Total)	$ (16,179)	$ (15,970)	$ (16,254)	-1.3%	0.5%	6.2%	10.0%
Consolidated Net Revs	$ 103,617	$ 101,066	$ 100,919	2.5%	2.7%	9.5%	26.8%
GAAP Operating Income	$ 40,770	$ 38,781	$ 40,801	5.1%	-0.1%		
% OI margin (Net Revs)	*39.3%*	*38.4%*	*40.4%*	*97 bps*	*-108 bps*		
Google Services OI	$ 39,544	$ 39,263	$ 40,532	0.7%	-2.4%		
% OI margin	*41.8%*	*42.0%*	*43.0%*	*-17 bps*	*-116 bps*		
Google Cloud OI	$ 8,814	$ 7,411	$ 7,040	18.9%	25.2%		
% OI margin	*35.6%*	*32.0%*	*31.3%*	*359 bps*	*429 bps*		
GAAP EBITDA	$ 47,874	$ 50,595	$ 48,523	-5.4%	-1.3%		
GAAP EPS	$ 9.11	$ 2.59	$ 2.90	251.1%	213.9%		

Q2 GAAP EPS benefitted from other income of ~$98.0bn (related to an unrealized gain on investments)

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

Exhibit 3: Q3'26, 2026, 2027 & 2028 Estimates Changes
mm, except per-share data

	Q3 2026			2026			2027			2028		
	Old	New	% Change	Old	New	% Change	Old	New	% Change	Old	New	% Change
Google Segment Revs (Gross)	$ 123,206	$ 127,131	3.2%	$ 487,601	$ 497,490	2.0%	$ 598,253	$ 618,859	3.4%	$ 735,882	$ 749,588	1.9%
Google Services	$ 96,984	$ 97,575	0.6%	$ 387,278	$ 388,693	0.4%	$ 432,390	$ 431,387	-0.2%	$ 478,793	$ 478,486	-0.1%
Google Search & Other	$ 63,921	$ 64,204	0.4%	$ 258,182	$ 258,515	0.1%	$ 290,748	$ 289,277	-0.5%	$ 323,799	$ 322,866	-0.3%
YouTube Ads	$ 11,184	$ 11,492	2.8%	$ 43,998	$ 45,179	2.7%	$ 49,277	$ 49,877	1.2%	$ 54,575	$ 55,363	1.4%
Google Network	$ 7,207	$ 7,207	0.0%	$ 29,056	$ 29,152	0.3%	$ 28,475	$ 28,569	0.3%	$ 27,906	$ 27,998	0.3%
Google Subscriptions, Platforms & Devices	$ 14,672	$ 14,672	0.0%	$ 56,043	$ 55,846	-0.4%	$ 63,889	$ 63,665	-0.4%	$ 72,514	$ 72,259	-0.4%
Google Cloud	$ 26,222	$ 29,556	12.7%	$ 100,322	$ 108,797	8.4%	$ 165,864	$ 187,471	13.0%	$ 257,089	$ 271,101	5.5%
Other Bets	$ 361	$ 361	0.0%	$ 1,552	$ 1,543	-0.6%	$ 1,630	$ 1,620	-0.6%	$ 1,711	$ 1,701	-0.6%
Consolidated Gross Revs	$ 123,567	$ 127,492	3.2%	$ 488,973	$ 498,959	2.0%	$ 599,883	$ 620,479	3.4%	$ 737,594	$ 751,289	1.9%
TAC (Total)	$ (16,354)	$ (16,472)	0.7%	$ (65,691)	$ (65,972)	0.4%	$ (71,800)	$ (71,648)	-0.2%	$ (77,849)	$ (77,839)	0.0%
Consolidated Net Revs	$ 107,212	$ 111,020	3.6%	$ 423,282	$ 432,987	2.3%	$ 528,084	$ 548,830	3.9%	$ 659,744	$ 673,449	2.1%
GAAP Operating Income	$ 41,475	$ 43,348	4.5%	$ 167,866	$ 173,770	3.5%	$ 216,380	$ 231,263	6.9%	$ 281,160	$ 289,938	3.1%
% OI margin (Net Revs)	*38.7%*	*39.0%*	*36 bps*	*39.7%*	*40.1%*	*47 bps*	*41.0%*	*42.1%*	*116 bps*	*42.6%*	*43.1%*	*44 bps*
Google Services OI	$ 41,672	$ 42,050	0.9%	$ 169,503	$ 169,035	-0.3%	$ 200,961	$ 203,524	1.3%	$ 237,978	$ 237,534	-0.2%
% OI margin	*43.0%*	*43.1%*	*13 bps*	*43.8%*	*43.5%*	*-28 bps*	*46.5%*	*47.2%*	*70 bps*	*49.7%*	*49.6%*	*-6 bps*
Google Cloud OI	$ 8,915	$ 9,754	9.4%	$ 32,817	$ 35,499	8.2%	$ 60,912	$ 56,141	-7.8%	$ 99,556	$ 78,619	-21.0%
% OI margin	*34.0%*	*33.0%*	*-100 bps*	*32.7%*	*32.6%*	*-8 bps*	*36.7%*	*29.9%*	*-678 bps*	*38.7%*	*29.0%*	*-972 bps*
GAAP EBITDA	$ 53,909	$ 59,152	9.7%	$ 211,255	$ 219,698	4.0%	$ 288,213	$ 316,019	9.6%	$ 385,984	$ 419,745	8.7%
GAAP EPS	$ 2.80	$ 2.95	5.3%	$ 13.69	$ 20.51	49.7%	$ 14.47	$ 15.44	6.7%	$ 18.66	$ 19.08	2.2%

FY26 GAAP EPS benefitted from other income of ~$98.0bn (related to an unrealized gain on investments) reported in Q2

Source: Goldman Sachs Global Investment Research

Valuation: Maintain Buy Rating; Lower PT to $435 (from $440)

Our $435 12-month price target (from $440 prior) is based on an equal blend of (1) EV/GAAP EBIT applied to our NTM + 1 year estimates and (2) a modified DCF using EV/FCF-SBC multiple applied to our NTM + 4 years estimates discounted back 3 years. Specifically:

- 26.0x EV/GAAP EBIT (unchanged) or 0.79x EV/GAAP EBIT-to-growth (from 0.89x prior) applied to our NTM + 1 year estimates.
- 50.0x EV/FCF-SBC (unchanged) applied to our NTM + 4 years estimates discounted back 3 years at 12% (unchanged). The discount rate represents CAPM using the blended average of companies within our coverage universe consisting of: (1) 3% risk free rate (based on the normalized 10-year rate); (2) average beta of ~1.3; (3) equity risk premium of 7%.

Exhibit 4: GOOGL Valuation Analysis

mm, except per-share data

Scenario Analysis	Downside	Base	Upside
Valuation	$ 235	$ 435	$ 540
% upside/downside	*-29%*	*32%*	*63%*
GAAP EBIT (NTM)	$ 157,338	$ 203,567	$ 221,642
EBIT Margin %	*35.0%*	*41.7%*	*42.0%*
GAAP EBIT (NTM + 1 year)	$ 213,788	$ 261,146	$ 288,096
EBIT Margin %	*39.0%*	*42.9%*	*43.0%*
EV / GAAP EBIT	16.0x	26.0x	28.0x
EBIT CAGR	20.3%	33.0%	39.7%
EV / GAAP EBIT to Growth	0.79x	0.79x	0.71x
Enterprise Value	$ 3,420,609	$ 6,789,789	$ 8,066,693
FCF-SBC (NTM + 4 years)	$ 86,874	$ 107,156	$ 125,485
FCF % of Sales	*9.0%*	*11.1%*	*13.0%*
EV / FCF-SBC	40.0x	50.0x	55.0x
FCF-SBC CAGR	-219.5%	-228.2%	-235.1%
EV / FCF-SBC-to-Growth	n/a	n/a	n/a
Discount Rate	15.0%	12.0%	10.0%
Discount Period (Years)	3	3	3
Enterprise Value (NTM + 3 years)	$ 3,474,971	$ 5,357,812	$ 6,901,678
Discounted Enterprise Value	$ 2,284,850	$ 3,813,585	$ 5,185,333
Weightings			
EV derived from GAAP EBITDA	50%	50%	50%
EV derived from (FCF-SBC)	50%	50%	50%
Enterprise Value	$ 2,852,730	$ 5,301,687	$ 6,626,013
Capital Structure Adjustments			
Adjusted Net Debt - NTM Ending	$ (101,971)	$ (101,971)	$ (101,971)
Dividends	$ 10,841	$ 10,841	$ 10,841
Adjusted Shares Outstanding - NTM Ending	12,509	12,509	12,509

Source: Company data, Goldman Sachs Global Investment Research

Risks to our Buy rating include: a) competition of product utility levels and advertising dollars; b) headwinds to monetizable (product) search from industry disruption; c) shifting media consumption habits; d) heavy investments depress operating margins for longer than our forecasts; e) no/low levels of incremental shareholder returns going forward; & f) regulatory scrutiny and industry practices altering the business model's prospects. In addition, Alphabet is exposed to the volatility caused by the global macroeconomic environment and investor risk appetite for growth stocks.

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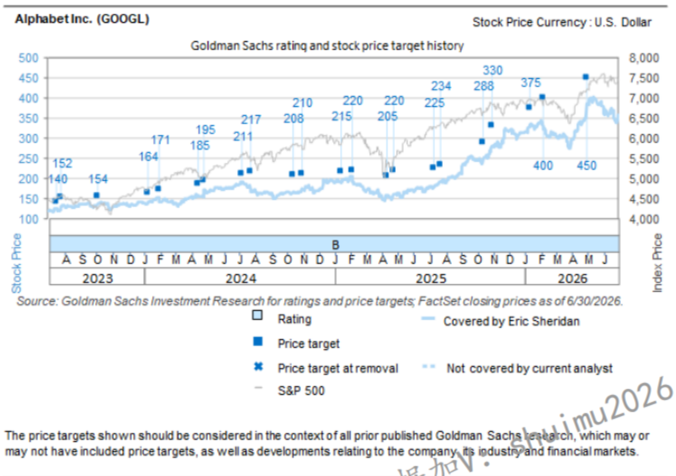

Target price history table(s)

Alphabet Inc. (GOOGL)

Date of report	Target price ($)	Closing price ($)
08-Jul-26	440.00	361.92
30-Apr-26	450.00	384.80
05-Feb-26	400.00	331.25
12-Jan-26	375.00	331.86
30-Oct-25	330.00	281.48
14-Oct-25	288.00	245.45
24-Jul-25	234.00	192.17
10-Jul-25	225.00	177.62
25-Apr-25	220.00	161.96
11-Apr-25	205.00	157.14
05-Feb-25	220.00	191.33
13-Jan-25	215.00	191.01
30-Oct-24	210.00	174.46
14-Oct-24	208.00	164.96
24-Jul-24	217.00	172.63
08-Jul-24	211.00	189.03
26-Apr-24	195.00	171.95
15-Apr-24	185.00	154.86
31-Jan-24	171.00	140.10
10-Jan-24	164.00	142.28
04-Oct-23	154.00	135.24
26-Jul-23	152.00	129.27

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